

China telcos

Token-based plans to monetize the AI boom

Equities Diversified Telecommunications

China

- ◆ China Telecom announced a nationwide token package offering on 17 May, spurring investor enthusiasm
- ◆ All three telcos introduced token-based subscription plans, but we expect little earnings impact in the near term
- ◆ Retain Buy ratings for China Mobile (H/A), Hold for China Telecom (H/A), and Reduce for China Unicom (H/A)

Token-based plans gain traction: China telcos are packaging AI token usage into subscription plans, turning tokens into the industry's newest data unit and billing metric (i.e. token as the new GB). For example, China Mobile (CM)'s Jiangsu branch offered monthly token plans (unit price: Rmb2/million token) on 17 April accessing various LLMs such as DeepSeek. On 29 April, China Unicom (CU)'s Hubei branch introduced token plans (unit price: Rmb1.3/million token) and coding plans (pricing by requests) accessing MiniMax model. On 17 May, China Telecom (CT) launched a tiered token plan covering both individuals (cRmb10/30/50 per month for 10m/40m/80m token) and SMEs (cRmb40/160/300 per month for 15m/70m/150m token). These plans underpin China telcos' strategies to become utility-like AI infrastructure providers and monetize the skyrocketing AI-driven token consumption in China (from 100billion/day in early 2024 to over 140trn/day in March 2026).

But price competitiveness remains questionable: We think CT's H/A share price rose c6%/8% on 18 May because of the AI token plan launch and "Token Factory" procurement announcement. CT's Ningxia branch recently opened China's first telco-led "Token Factory" procurement. However, we think the price competitiveness of telcos' token plans are questionable. The price per token does not seem lower than Internet CSPs' C-end monthly subscriptions (see table 2). Moreover, we think model variety, computing power reliability, ecosystem of cloud offerings, and responsiveness of support team matter for individual and SME users. China's Internet CSPs such as Bytedance are early movers in token-based subscription offerings with more powerful proprietary LLMs than telcos. Therefore, we do not expect telcos to gain significant market share in the near to medium term.

Retain Buys for CM (H/A), Holds for CT (H/A), and Reduces for CU (H/A): We believe telcos' trials in the token-based model would enrich their cloud product offerings. But we see limited visibility on an earnings impact, and hence we keep our estimates and ratings unchanged. CM continues to be our preferred pick given a higher FY26e dividend yield (6.3%) and a more robust balance sheet.

1. China telcos: Summary of rating and target price changes, and valuation

Company	Ticker	Currency	Price	Target Price		Rating	Upside/ Downside	3m ADV EV/EBITDAx (USD m)	2026e	PEx 2026e	Div Yield 2026e
				Old	New						
China Mobile	941 HK	HKD	86.40	94.00	94.00 Buy	Buy	+8.8%	209.8	3.8x	12.2x	6.3%
China Mobile A	600941 CH	RMB	100.35	111.00	111.00 Buy	Buy	+10.6%	134.8	5.4x	16.0x	4.7%
China Telecom	728 HK	HKD	5.64	5.60	5.60 Hold	Hold	-0.7%	39.1	2.5x	15.3x	5.0%
China Telecom A	601728 CH	RMB	6.82	6.30	6.30 Hold	Hold	-7.6%	126.3	3.8x	20.1x	3.6%
China Unicom	762 HK	HKD	7.94	6.50	6.50 Reduce	Reduce	-18.1%	26.3	1.2x	11.6x	5.4%
China Unicom A	600050 CH	RMB	4.92	4.10	4.10 Reduce	Reduce	-16.7%	136.5	2.8x	17.9x	3.3%

Source: Bloomberg, HSBC estimates. Note: Priced as at close of 18 May 2026.

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2. Comparing token-based subscription plans of telcos and China-based internet companies

Player	Plan type	Price (CNY/month)	Tokens included (m)	CNY/m token
China Telecom	Individual	10	10	1.0
China Telecom	Individual	30	40	0.8
China Telecom	Individual	50	80	0.6
China Telecom	SME	40	15	2.7
China Telecom	SME	160	70	2.3
China Telecom	SME	300	150	2.0
China Mobile	Individual	5	2.5	2.0
China Mobile	Individual	20	10	2.0
China Mobile	Individual	40	20	2.0
China Unicom	Individual	7.5	6	1.3
China Unicom	Individual	15	12	1.3
China Unicom	Individual	22.5	18	1.3
Tencent Cloud	Individual	39	35	1.1
Tencent Cloud	Individual	99	100	1.0
Tencent Cloud	Individual	299	320	0.9
Tencent Cloud	Individual	599	650	0.9
Bytedance Cloud	Individual	19	50	0.4
Bytedance Cloud	Individual	99	200	0.5
Bytedance Cloud	Individual	199	400	0.5

Source: Company data

Valuation and risks

	Valuation	Risk
China Mobile 941 HK 600941 CH H: Buy A: Buy	Current price: HKD86.40 RMB100.35 Target price: HKD94.00 RMB111.00 Upside: H: 8.8% A: 10.6% Methodology: DCF-based sum-of-the-parts (SOTP) valuation approach. Assumptions: We use a DCF-based SOTP valuation approach to better capture the value of China Mobile's core telecom business in China as well as its investments in other entities. Detailed assumptions are provided in the SOTP table. H-share target price: Our approach returns a fair value target price of HKD94.00 per share (unchanged). This implies upside of c9% from the current share price. We maintain our Buy rating. The company has strong FY26 dividend yield support, the highest among China telcos. RMB counter (80941 HK, RMB75.15) – target price of RMB81.00 (unchanged). We convert our H-share target price of HKD94.00 to RMB based on an RMB-HKD assumption of 1.16 (unchanged). Secondary listing: A-share target price: We apply a premium of 36% (based on the three-month average premium of the A-shares relative to the H-shares) to our H-share target price to derive our A-share target price of RMB111.00. This implies upside of c11% from the current share price, and we upgrade our rating to Buy from Hold. The company has strong FY26 dividend yield support, the highest among China telcos. Piyush Choudhary*, CFA piyush.choudhary@hsbc.com.sg +65 6658 0607	Key H/A downside risks ◆ Faster-than-expected decline in consumer mobile revenue due to market share loss ◆ More intense competition in the mobile and home broadband markets ◆ Further RMB depreciation could reduce the value of China Mobile-H's dividend
China Telecom 728 HK 601728 CH H: Hold A: Hold	Current price: HKD5.64 RMB6.82 Target price: HKD5.60 RMB6.30 Downside: H: -0.7% A: -7.6% Methodology: DCF-based sum-of-the-parts (SOTP) valuation approach. Assumptions: We use a DCF-based SOTP valuation approach to better capture the value of China Telecom's core telecom business in China as well as its investments in other entities. Detailed assumptions are provided in the SOTP table. H-share target price: Our approach returns a fair value target price of HKD5.60 (unchanged). This implies downside of c1% from the current share price and we maintain our Hold rating. Secondary listing: A-share target price: We apply a premium of 31% (based on the three-month average premium of the A-shares relative to the H-shares) to our H-share target price to derive our A-share target price of RMB6.30 (unchanged). This implies downside of c8% from the current share price and we maintain our Hold rating, as we like the shares' high exposure to the cloud and IDC market, and we think it is best positioned for AI growth in China. Piyush Choudhary*, CFA piyush.choudhary@hsbc.com.sg +65 6658 0607	Key H/A downside risks ◆ More intense competition in the mobile and home broadband market ◆ Higher-than-expected marketing expenses ◆ Further RMB depreciation would reduce the value of China Telecom-H's dividend Key H/A upside risks ◆ Faster-than-expected growth and profitability improvements ◆ Lower-than-expected capex
China Unicom 762 HK 600050 CH H: Reduce A: Reduce	Current price: HKD7.94 RMB4.92 Target price: HKD6.50 RMB4.10 Downside: H: 18.1% A: 16.7% Methodology: DCF-based sum-of-the-parts (SOTP) valuation approach. Assumptions: We use a DCF-based SOTP valuation approach to better capture the value of China Unicom's core telecom business in China as well as its investments in other entities. Detailed assumptions are provided in the SOTP table. H-share target price: Our approach returns a fair value target price of HKD6.50 (unchanged). This implies downside of c18% from the current share price and we maintain our Reduce rating, as we think the shares are fairly valued, given the company's reliance on non-operating income. Secondary listing: A-share target price: We apply a premium of 67% (based on the three-month average premium of the A-shares relative to the H-shares) to our H-share target price to derive our A-share target price of RMB4.10 (unchanged). This implies downside of c17% from the current share price and we maintain our Hold rating, as we think the shares are fairly valued, given the company's reliance on non-operating income. Piyush Choudhary*, CFA piyush.choudhary@hsbc.com.sg +65 6658 0607	Key H/A upside risks ◆ Faster-than-expected growth and profitability improvements in the CDSA business ◆ Higher-than-expected payout ratio ◆ Lower-than-expected capex

Priced at 18 May 2026

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Source: Bloomberg, HSBC estimates

3. China Mobile: SOTP valuation assumptions

	Valuation method	Valuation assumptions/rationale
Core telecom assets	DCF	Cost of equity at 8.05% comprising a risk-free rate of 4.25%, a beta of 0.8, equity risk premium of 4.75%, country risk premium of 0%. We apply a cost of debt of 3.5%, a debt-to-capital ratio of 5%, and a terminal growth rate of 0%. All our inputs remain unchanged. This leads to a WACC of 7.78%.
Fair value of SPDB	Average market price	We value China Mobile's 18% stake in SPD Bank (600000 CH, CMP RMB9.08, Hold, covered by Angel Sun) by applying a 20% holding company discount to the three-month average of the stock price.
Fair value of China Tower	HSBC TP	We value its 28% stake in China Tower (788 HK, CMP HKD10.94, Hold) using HSBC's target price of HKD11.40, applying a 20% holding company discount.
Fair value of other associates		We reflect CM's 7.8% stake in True Corp and 9.7% stake in Iflytek and all other associates – combined under "fair value of other associates/investments", discounted at 20% holding company discount.

Source: HSBC estimates. Priced at 18 May 2026

4. China Mobile: SOTP table

	Stake	RMBm	RMB/share	HKD/share	Contribution
Assessed EV of telecoms assets		1,410,781	68.1	78.7	84.1%
Add: fair value of SPDB	18.0%	50,589	2.4	2.8	3.0%
Add: fair value of China Tower	27.9%	38,555	1.9	2.1	2.3%
Add: value of other associates/investments		14,110	0.7	0.8	0.8%
Less: minority interests		(4,507)	(0.2)	(0.3)	-0.3%
Less: (net debt)/cash		168,087	8.1	9.4	10.0%
Fair equity value		1,677,615	81	94	
Number of Shares outstanding (m)		20,724			
Fair value per share, RMB		81			
Fair value per share, HKD		94			

Source: HSBC estimates. Note: Priced at 18 May 2026. 1) Percentage contribution to target price may not add up to 100% due to rounding. 2) We convert our RMB target price to HKD based on our FX team's end-2026e RMB-HKD rate of 1.16.

5. China Telecom: SOTP valuation assumptions

	Valuation method	Valuation assumptions/rationale
Core telecom assets	DCF	Cost of equity at 8.05% comprising a risk-free rate of 4.25%, a beta of 0.8, an equity risk premium of 4.75%, and a country risk premium of 0%. We apply a cost of debt of 3.5%, a debt-to-capital ratio of 10%, and a terminal growth rate of 0%. All our inputs remain unchanged. This leads to a WACC of 7.51%.
Fair value of China Tower	HSBC TP	We value China Telecom's 20.5% stake in China Tower (788 HK, CMP HKD10.94, Hold) using HSBC's target price of HKD11.40, applying a 20% holding company discount.
Fair value of other associates		We value other associates using the company's reported book value (excluding the value of the China Tower stake).

Source: HSBC estimates. Priced at 18 May 2026

6. China Telecom SOTP valuation

	Stake	RMBm	RMB/share	HKD/share	Contribution
Assessed EV of telecoms assets		304,730	3.33	3.85	69%
Add: fair value of China Tower stake	20.5%	28,298	0.31	0.36	6%
Add: value of associates		3,464	0.04	0.04	1%
Less: minority interests		4,162	0.05	0.05	1%
Less: (net debt)/cash		99,705	1.09	1.26	23%
Fair equity value		440,359	4.81	5.56	
Number of shares outstanding (m)		91,507			
Fair value per share, RMB		4.81			
Fair value per share, HKD		5.60			

Source: HSBC estimates. Note: Priced at 18 May 2026. 1) Percentage contribution to target price may not add up to 100% due to rounding. 2) We convert our RMB target price to HKD based on our FX team's end-2026e RMB-HKD rate of 1.16.

7. China Unicom: SOTP valuation assumptions

	Valuation method	Valuation assumptions/rationale
Core telecom assets	DCF	Cost of equity at 8.65% comprising a risk-free rate of 4.25%, a beta of 0.9, an equity risk premium of 4.75%, and a country risk premium of 0%. We apply a cost of debt of 3.5%, a debt-to-capital ratio of 10%, and a terminal growth rate of -0.5%. All our inputs remain unchanged. This leads to a WACC of 8.05%.
Fair value of China Tower	HSBC TP	We value its 20.5% stake in China Tower (788 HK, CMP HKD10.94, Hold), using HSBC's target price of HKD11.40, applying a 20% holding company discount.
Fair value of other associates		We value other associates using the company's reported book value (excluding the value of the China Tower stake).

Source: HSBC estimates. Priced at 18 May 2026

8. China Unicom: SOTP table

	Stake	RMBm	RMB/share	HKD/share	Contribution
Assessed EV of telecoms assets		62,011	2.0	2.3	36%
Add: fair value of China Tower stake	20.6%	28,505	0.9	1.1	17%
Add: value of associates		28,431	0.9	1.1	17%
Less: minority interests		2,525	0.1	0.1	1%
Less: (net debt) / cash		50,369	1.6	1.9	29%
Fair equity value		171,842	5.6	6.5	
Number of shares outstanding (m)		30,598			
Fair value per share, RMB		5.6			
Fair value per share, HKD		6.5			

Source: HSBC estimates. Note: Priced at 18 May 2026. 1) Percentage contribution to target price may not add up to 100% due to rounding. 2) We convert our RMB target price to HKD based on our FX team's end-2026e RMB-HKD rate of 1.16.

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Company	Ticker	Recent price	Price date	Disclosure
CHINA MOBILE	0941.HK	86.40	18 May 2026	7, 11
CHINA MOBILE A	600941.SS	100.35	18 May 2026	7, 11
CHINA TELECOM	0728.HK	5.64	18 May 2026	4, 11
CHINA TELECOM A	601728.SS	6.82	18 May 2026	4, 11
CHINA UNICOM	0762.HK	7.94	18 May 2026	11
CHINA UNICOM A	600050.SS	4.92	18 May 2026	11

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